

# Q2 2026 Quarterly Report

My investment research began in February of 2026, so this will be my first quarterly report. These reports should act as my communication on my activity, current portfolio, and general thoughts. In Q2 2026, I spent the entire period building out my investing infrastructure and process. This includes developing reusable templates for historical data collection, qualitative assessments, and business model specific valuations. In addition, I have screened companies using detailed filters, written qualitative assessments, and evaluated companies. The overall goal remains to find undervalued companies, but this quarter has been spent laying the foundation to be able to wait for mispricings.

The research I have done has created a watchlist of companies; however as none are currently at attractive prices 100% of my portfolio is currently invested in short-term U.S. Treasury securities, which are currently yielding approximately 3.7% annually. This allows a liquid position ready for opportunities that may arise at any moment.

To quantify the work that has been done, I have some statistics to share. The universe I have been researching is companies under one billion dollars in market cap listed on the NYSE and NASDAQ. This initial universe represents the cleaner and more accessible portion of the small-company market. I began with NYSE and NASDAQ-listed companies because they were the most practical place to learn. Many of these businesses are easier to recognize, easier to research, and easier to understand than the more obscure areas of the market, which made them a logical starting point as I built my research process. While these companies are still smaller and less followed than large-cap securities, they are not necessarily the most obscure segment of the market. As my process develops, I expect to move further down the market-cap, liquidity, and coverage spectrum, where potential mispricings may be more common but where risks around disclosure, liquidity, and governance are also greater. So far, I have screened 712 companies through seven filters. The most important filter is understandability. With my current knowledge of businesses, many companies fail this filter, including technology companies, healthcare companies, and financial companies. The pass rate for understandability after 712 companies is 17.6%. In order for a company to be advanced to qualitative assessment, it must have at least mediocre results from the initial screening filters. The current pass rate from initial screening to further assessment is 9.8%, or 70

companies in total. Of those 70 companies, I have written qualitative assessments for 16, each accompanied by a historical financial document. After writing these assessments, a company is determined whether to be moved to valuation or not. The pass rate for qualitative assessments is 56.3%. This means that of the 712 companies I have researched, only 1.3% have been approved for valuation. Of the 1.3% ready for valuation, I have completed five detailed valuation models. All five valuations indicated the shares were trading above my estimated buy prices and therefore were placed on a watchlist.

Another part of my activity has been outreach. I have sent over 25 emails to investment professionals including equity research associates, value investment firms, and top tier valuation experts seeking feedback on the quality of my work. This feedback has been encouraging and positive so far.

Though I have no ability or desire to estimate current macroeconomics or what will happen in the future, I have three important ratios that support the lack of opportunities I have found thus far. As of this writing, the S&P 500 trailing P/E is approximately 31x, compared with a long-run average in the high teens. The Buffett Indicator (U.S. stock market value divided by U.S. GDP) is ~219-230% which is near record highs. Finally, the Shiller CAPE (current market price divided by 10 year average inflation adjusted earnings) is ~41x which is also near record highs, the record being in 1999 at 44.2x. It is important to note this does not mean a market decline is imminent, but rather supports why my research findings have produced a scarce opportunity set.

For the foreseeable future, I plan to continue screening companies, writing qualitative assessments, and evaluating companies with the goal of building my watchlist of strike prices. Obviously the more companies I can research and add to a watchlist, the higher the probability of a potential investment. In addition, I plan to continue adding capital to the portfolio and reinvesting in treasuries each month.

The main lessons from this quarter are as follows. Value investing consists of a serious amount of time preparing for market failures. I recently read a quote from Buffett that exemplifies this, "It took Noah 20 years to build an ark. And people said he was being silly because the skies were beautiful. And of course, the

whole time, he looked stupid - until it started raining. You can spend a long time building an ark while everybody else is out there enjoying the sun." A second lesson I have learned is thinking of the opportunity cost of my time. Because this work is being done outside of a full-time job, every hour spent on one company is an hour not spent on another. As companies pass initial screenings, it is important to focus my work on companies with the ripest potential first. For example, if two companies are nearly identical but one trades at a P/E of 250 and the other trades at a P/E of 20, there should be no question as to which deserves attention first. As Q3 begins, my focus remains unchanged: continue building the research library, continue adding capital, and remain patient until attractive opportunities appear. The current goal is not activity, but preparation.

*Prepared 6/13/2026*

*Ellis Walker*